

Part 5 – Business Recommendations

1. Introduce an early-tenure retention program

Target customers within their first 12 months, particularly during the first few months, with proactive onboarding, service check-ins and targeted retention offers.

Why: The 0–12 month group has a 47.44% churn rate.

2. Encourage month-to-month customers to adopt longer contracts

Offer appropriate incentives, discounts or additional value to encourage eligible month-to-month customers to move to one- or two-year contracts.

Why: Month-to-month customers have 42.71% churn, compared with only 2.83% for two-year contracts.

3. Investigate the high churn among fiber-optic customers

Conduct a deeper review of fiber pricing, service reliability, technical support and customer complaints before introducing corrective measures.

Why: Fiber customers have a 41.89% churn rate and represent 44% of customers.

4. Encourage electronic-check customers to use automatic payment methods

Promote automatic payment options through simplified enrollment and appropriate incentives, while investigating why electronic-check users have higher churn.

Why: Electronic-check customers have a 45.29% churn rate, compared with 15.24% for automatic credit-card users.

5. Develop a high-risk customer segmentation strategy

Create a churn-risk segment based on combinations of factors identified in the analysis, such as:

- Short tenure
- Month-to-month contract
- Fiber-optic service
- Higher monthly charges
- Electronic-check payment

Customers exhibiting multiple risk indicators can receive prioritized retention interventions.

Why: The highest-risk combination identified was 0–12 months + month-to-month contract, with 51.35% churn.